# TDS Policy

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| Owner | Meera Kulkarni (tax manager) |
| Approved by | Vikram Nair (financial controller) |
| Status | Approved |

## 1. Purpose

This policy decides how much tax Northbridge deducts at source (TDS) from supplier payments under the Income-tax Act 2025, and how it is deposited, returned and certified.

## 2. Deciding the section

### 2.1 Which section applies

The approved TDS Section Table decides the section and rate; past invoices only suggest one; a new row is proposed by the tax manager and approved by the financial controller. The table maps the old section numbers to the new Act.

## 3. Rates

### 3.1 Purchase of goods

Purchase of goods: Income-tax Act 2025 section 393(1), Table Sl. No. 8(ii) (formerly section 194Q): 0.1% of purchases above Rs.50,00,000 from one supplier in a financial year, because Northbridge's turnover is above Rs.10 crore. GST shown separately on the invoice is left out of the amount.

### 3.2 No PAN or inoperative PAN

With no PAN, or an inoperative PAN, TDS on a purchase of goods is 5%. A PAN not linked with Aadhaar is inoperative.

### 3.3 Transporters

No TDS on freight paid to a transporter owning not more than 10 goods carriages who gives its PAN and a declaration (formerly section 194C(6)). The declaration is recorded in the Vendor Master.

## 4. Certificates

### 4.1 Lower or nil certificates

A lower or nil deduction certificate is used only after it is verified on TRACES. Its number is kept with every deduction made at the lower rate.

## 5. Deposit, return and certificate

### 5.1 Deposit

TDS is deposited by the 7th of the following month. The deposit is complete only when the bank statement shows the challan.

### 5.2 Quarterly return

The quarterly TDS return is Form 140 (formerly Form 26Q); for October to December it is due by 31 January.

### 5.3 Certificate

The TDS certificate to the supplier is Form 131 (formerly Form 16A). Accounts payable sends it; the assistant only drafts the e-mail.